

“International spillovers of the Fed and ECB monetary policy surprises”

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“Are “narrative” monetary policy shock measures contaminated by global shocks?”

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0. Introduction



- The Holy Grail in Monetary Economics : What is the effect of a monetary policy shock?

0. Introduction

- ▶ Typical reaction of a typical scholar (me) when looking at the literature:

0. Introduction



0. Introduction

- ▶ Two useful papers in this quest
 - × Using different identification strategies
 - ▶ Narrative approach to monetary shocks
 - ▶ high frequency (financial) data around CBks announcements
 - × Both addressing at some point the question of international spillovers of monetary policy shocks
 - × Both extending our set of observations
- ▶ The two papers are also questioning the validity of the identification strategy they start from

Roadmap

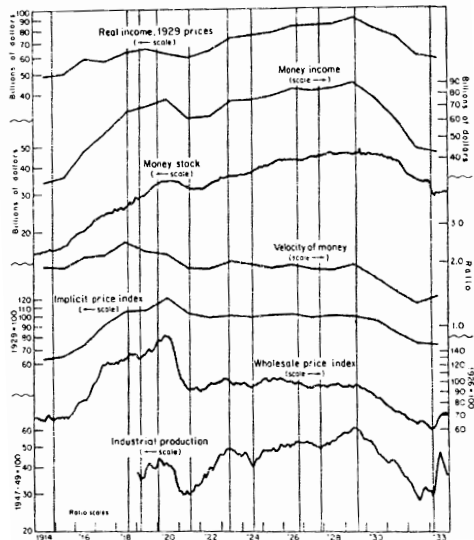
1. A Short Historical Tour
2. Discussion

1. A Short Historical Tour

- ▶ What do we know about the effect of monetary policy shocks?

1. A Short Historical Tour

Friedman-Schwartz [1965]: The Great Contraction



1. A Short Historical Tour

Barro [1977]

The form of the systematic part of the money growth equation is

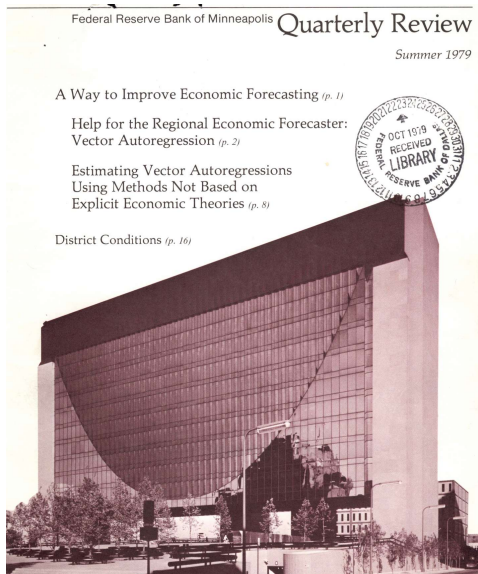
$$(1) \quad DM_t = \alpha_0 + \alpha_1 DM_{t-1} + \alpha_2 DM_{t-2} \\ + \alpha_3 FEDV_t + \alpha_4 UN_{t-1}$$

The effects of monetary expansion on unemployment are measured by the impact of current and lagged values of unanticipated money growth, $DMR \equiv DM - \widehat{DM}$. The number of lags

$$(4) \quad \log(U/(1-U))_t = -3.07 - 5.8DMR_t \\ (.15) \quad (2.1) \\ - 12.1DMR_{t-1} - 4.2DMR_{t-2} - 4.7MIL_t \\ (1.9) \quad (1.9) \quad (0.8) \\ + 0.95MINW_t, \\ (.46)$$

1. A Short Historical Tour

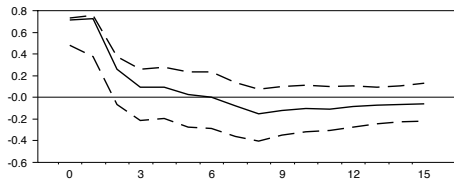
VARs



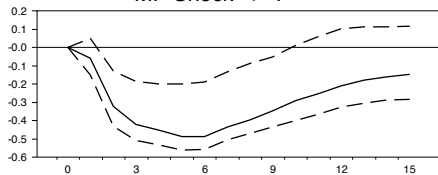
1. A Short Historical Tour

Christiano-Eichenbaum-Evans [1998]

FFR response



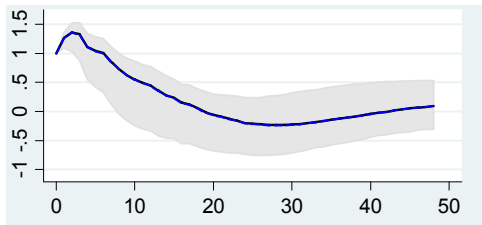
Output response
MP Shock $\Rightarrow$ Y



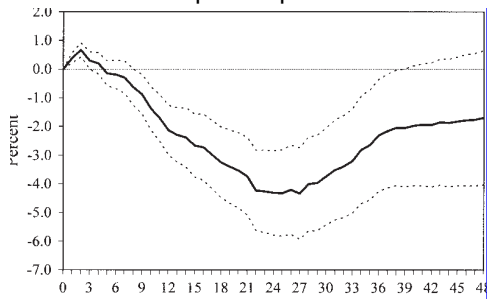
1. A Short Historical Tour

Romer-Romer[2004]

FFR response (Ramey)



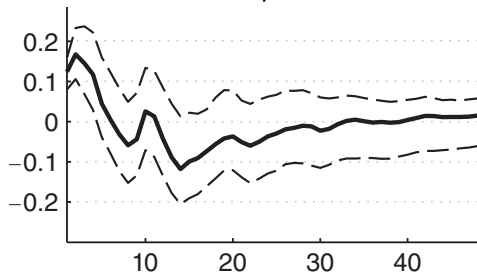
Output response



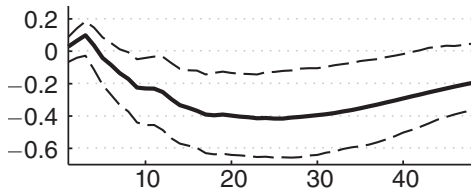
1. A Short Historical Tour

Gertkler-Karadi [2015]

FFR response



Output response



2. Discussion

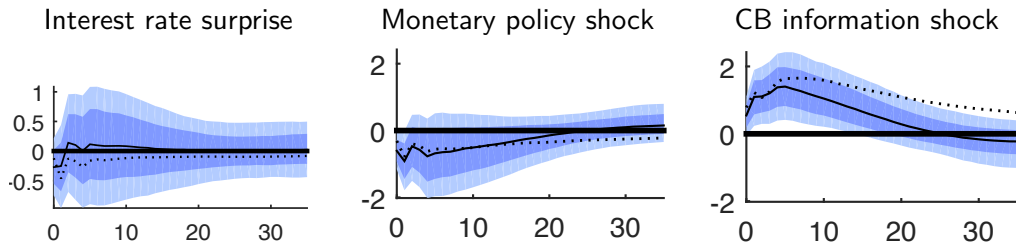
Marek

- ▶ Monetary shocks derived from high frequency post data around CBk announcements

2. Discussion

Marek

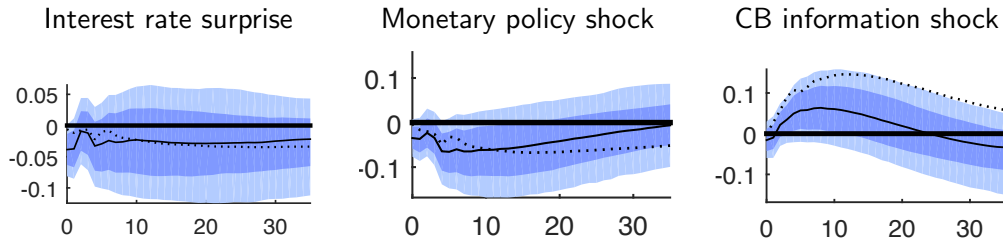
Figure 1: US Shocks - Response of Stock Prices



2. Discussion

Marek

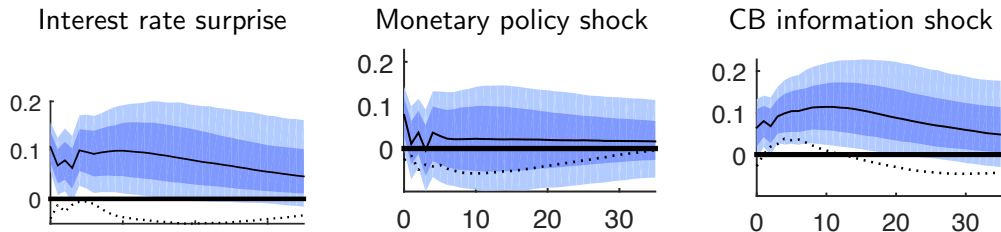
Figure 2: US Shocks - Response of GDP



2. Discussion

Marek

Figure 3: EZ Shocks - Response of GDP



- ▶ CBk information shock : seems to explain a lot of the effect of the interest rate surprise $\rightsquigarrow$ the monetary policy shock is not so well identified
- ▶ What is the CBk information shock? High order expectations?

2. Discussion

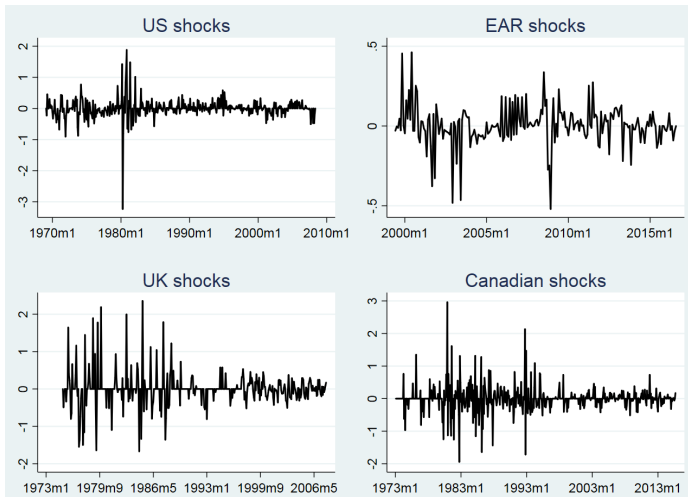
Giorgios

- ▶ Monetary shocks derived from the Narrative Approach
- ▶ Seem to include global factors

2. Discussion

Giorgios

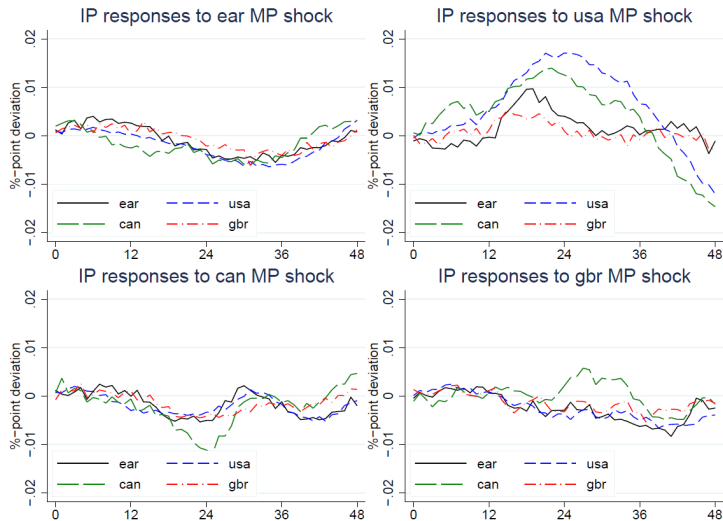
Figure 4: Monetary Shocks Derives From the Narrative Approach



2. Discussion

Giorgios

Figure 5: Response to Monetary Policy Shock



2. Discussion

Giorgios

Table 2: Correlation between narrative shocks

	USA	EAR	GBR	CAN
USA	1			
EAR	0,10 0,29	1		
GBR	0,00 0,95	0,19 0,05	1	
CAN	0,03 0,52	0,01 0,94	0,06 0,20	1

- ▶ No correlated? (add a few leads and lags)
- ▶ At this stage, puzzling ...

2. Discussion

Giorgios

- ▶ Industrial Production is likely to be much more correlated across countries than GDP (because services are less tradable)
- ▶ Why not looking at GDPs?

3. Conclusion

- ▶ Food for thought
- ▶ I cannot resist wondering if monetary policy shock effects on the economy are not too small to be easily measured?
- ▶ Why do we study monetary policy shocks?
 - × CBks should be interested in monetary policy rules but not much variability
 - × Macroeconomists are interested if it is some easy way to measure demand shocks ... but it seems not to be that easy...

